

WJEC CBAC
GCE MARKING SCHEME

Predicted Paper (Advanced)

ECONOMICS – UNIT 3

1520U30-1

About this marking scheme

Designed in the WJEC A-Level Economics Unit 3 style. Positive marking principles apply — credit the content learners provide rather than penalising omissions.

AOs:

- AO1 — Knowledge of concepts/theories/models.
- AO2 — Application to economic context.
- AO3 — Analysis of issues and impacts.
- AO4 — Evaluation using qualitative and quantitative evidence.

GCE A LEVEL ECONOMICS – UNIT 3

PREDICTED PAPER (ADVANCED) MARK SCHEME

Question 1 (a) — Internal economies vs diseconomies (4 marks)

AO1 – 2 marks

- 1 mark for understanding: economies reduce average/unit cost as output rises; diseconomies raise average/unit cost as output rises.
- 1 mark for accurate U-shaped LRAC diagram with output and costs axes correctly labelled. Do not accept 'AC' alone.

AO2 – 2 marks

- 1 mark for TSMC internal economy of scale e.g. spreading US\$380m EUV machine costs over billions of chips (technical/capital indivisibility); billions in fab construction costs spread over huge production runs.
- 1 mark for TSMC internal diseconomy e.g. communication breakdown at Arizona fab, 30-year engineer burnout, managerial coordination problems across global sites, occasional yield issues.

Question 1 (b) — External economies of scale in Hsinchu (4 marks)

AO1 – 2 marks

- 1 mark for understanding external EoS lower LRAC at all output levels due to growth of the wider industry/area.
- 1 mark for a correctly drawn diagram showing LRAC shifting downward to $LRAC_1$.

AO2 – 2 marks

- 1 mark for linking to case data: specialist equipment/material suppliers clustered in Hsinchu; government-funded ITRI; NTU postgraduate programmes; upgraded Science Park infrastructure.
- 1 mark for linking to how LRAC falls: lower recruitment and training costs from a steady local pipeline of engineers; reduced logistics costs from co-located suppliers; shared R&D spillovers reduce innovation cost.

Question 2 (a)(b)(c) — Natural monopoly diagram (7 marks)

(a) 1 mark (AO2): unregulated profit-maximising output indicated where $MC = MR$.

(b) 2 marks (AO2): supernormal profit rectangle shaded as $(AR - AC) \times Q$ at the profit-maximising output (OFR from (a)).

(c) 4 marks: why regulators use AC pricing.

- AO1 (1 mark): knowledge that allocative efficiency requires $P = MC$; and that because LRAC is continuously falling, MC lies below AC.
- AO2 (1 mark): recognises that MC-pricing for a natural monopoly would therefore set price below AC, generating losses for the firm.
- AO3 (2 marks): developed chain — sustained losses would require permanent public subsidy (a fiscal burden); therefore regulators often set price at AC (average-cost pricing) which covers all costs including normal profit but still captures most of the potential welfare gain from monopoly regulation. This is a pragmatic second-best compromise between allocative efficiency and financial viability.

Question 3 — Evaluate Argentina's planned privatisation programme (8 marks)

Band	AO2 (2)	AO3 (2)	AO4 (4)
3			4 marks — Excellent evaluation, well-rounded judgement.
2	2 marks — Good use of case data on both sides.	2 marks — Good analysis with developed chains of reasoning.	2–3 marks — Well-developed counter-argument.
1	1 mark — Superficial data or one-sided.	1 mark — Superficial analysis.	1 mark — Counter-argument present but not developed.
0	0	0	0

In favour of success:

- Relieves pressure on public finances — Aerolíneas has required repeated bailouts; YPF sale raises revenue.
- Exposes loss-making SOEs to market discipline, potentially improving productive efficiency.
- Vaca Muerta is a world-class shale resource that requires private FDI to develop — privatisation attracts capital Argentina currently lacks.
- Milei's fiscal credibility is increasing (primary surplus achieved 2024) — may raise sale values.
- Country risk falling (EMBI+ from 2,000 to 750 bp) — better investor confidence supports privatisation sales.

Against success:

- Argentina's 1993 YPF privatisation produced disappointing investment from Repsol, prompting re-nationalisation — institutional memory of failure.
- Rapid 'shock therapy' sales risk undervaluation: the peso has fallen over 96% vs US\$, legal environment is uncertain.
- High inflation (211% in 2023) distorts asset valuations.
- Currency controls and high country risk deter investors; lack of deep domestic capital markets (similar to Angola's position).
- Privatisation may worsen existing inequality (Gini 0.42) if shares go mainly to foreign investors and the wealthy.
- Argentina's history of policy reversals (22 IMF programmes, 9 sovereign defaults) creates hold-up problems.
- Foreign ownership of key natural resources could cause current-account deficits in future via profit repatriation.

Reversible answer.

Question 4 — Aggressive rate rises and AD in an emerging market (6 marks)

Band	AO1 (2)	AO2 (2)	AO3 (2)
2	2 marks — Good knowledge of	2 marks — Good use of data (e.g.	2 marks — Good analysis of impacts

	transmission mechanisms (savers, borrowers, exchange rate).	Argentine rates reaching 133%; US rates at 5.5%).	on specific AD components.
1	1 mark — Limited knowledge, one side only.	1 mark — Limited data reference.	1 mark — Superficial analysis.
0	0	0	0

Indicative content:

- C falls sharply: at 133% policy rates, consumer credit becomes unaffordable; high real rates crush durable goods purchases.
- I collapses: business investment virtually impossible at these rates — hurdle rates are astronomical.
- G: higher rates dramatically raise debt-service costs on Argentine dollar-denominated and peso debt, squeezing discretionary G.
- X–M: high rates can attract hot money and support currency (helps stabilise against imported inflation), but in Argentina's case the country-risk premium dominates — capital flight continued despite high rates until recently.
- Wealth effects: asset-price collapse hits net wealth and further hits C.
- Unique EM complication: dollar-denominated debt means currency depreciation directly raises the peso value of debt (balance-sheet effect) — AD falls sharply through a 'sudden stop' dynamic.
- The Argentine case shows the limits of interest-rate policy in an emerging market — at some point the 'side effects' dominate the direct impact.

Question 5 (a) — Monthly price index, December 2023 (3 marks)

Weighted method:

$$(29.7 \times 27) + (32.6 \times 10) + (31.7 \times 14) + (13.8 \times 28) + (18.9 \times 8) + (8.7 \times 13) / 100$$

$$= (801.9 + 326 + 443.8 + 386.4 + 151.2 + 113.1) / 100 = 2222.4 / 100 = 22.224\%$$

Monthly price index = 122.2 (accept 122.1 – 122.3)

- AO3 (1 mark) for use of weighted index method.
- AO2 (2 marks) for correct answer.
- 2 marks total for 22.2% without expressing as an index.
- Note: this is a particularly large monthly rise reflecting the post-devaluation shock.

Question 5 (b) — Assess continued wage-price spiral in Argentina (8 marks)

Band	AO2 (2)	AO3 (2)	AO4 (4)
3			4 marks — Excellent evaluation, well-rounded judgement.
2	2 marks — Good data use on both sides, references to at least two Figures.	2 marks — Good analysis of spiral mechanism in Argentina.	2–3 marks — Well-developed counter-argument.

1	1 mark — Data use limited.	1 mark — Superficial analysis.	1 mark — Counter not developed.
0	0	0	0

In favour of continued spiral:

- Argentine CPI has been above 40% every year since 2018 — deeply entrenched expectations (Figure 1).
- Paritarias formally index wages to past inflation — a classic spiral mechanism.
- Fig 2 shows monthly food inflation at 29.7% in Dec 2023 — food weight is 27%, feeding directly into CPI and wage demands.
- 2024 wage agreements of 15–25% per month keep wages moving with prices.
- Nominal wage index rose from 8 in 2019 to 210 in 2024 (Fig 3) — 26x increase — clear spiral dynamics.
- Dollarised psychology — Argentines price in US\$, so any peso depreciation rapidly translates into price rises.

Against continued spiral:

- Real wages in Fig 3 have fallen from 148 (2019) to 96 (2024) — workers have repeatedly lost ground, suggesting the spiral is actually breaking.
- Milei's fiscal adjustment has removed the monetary financing of deficits — core cause of inflation.
- Monthly inflation fell from 25.5% (Dec 2023) to 2.7% (Oct 2024) — spiral is demonstrably decelerating.
- IMF programme anchors expectations.
- Deep recession (GDP –3.5% H1 2024) and 15% private real-wage cut reduce pressure on wages.
- 300,000 public sector job cuts raise unemployment — weakens union bargaining power.
- Devaluation has been front-loaded rather than trickled — if the real exchange rate stabilises, imported cost-push fades.

Reversible answer.

Section B — Argentina's peso crisis and Milei's chainsaw

Question 6 (a)(i) — % change in US\$ price of diesel (2 marks)

$$(0.88 - 0.42) / 0.42 \times 100 = 0.46 / 0.42 \times 100 \approx 109.5\%$$

Accept 109% to 110%.

Question 6 (a)(ii) — % change in peso price of diesel (2 marks)

$$2020 \text{ peso price per litre: } 0.42 \times 65 = 27.3 \text{ ARS}$$

$$2024 \text{ peso price per litre: } 0.88 \times 1,000 = 880 \text{ ARS}$$

$$\% \text{ change} = (880 - 27.3) / 27.3 \times 100 = 852.7 / 27.3 \times 100 \approx 3,124\%$$

Accept 3,100% to 3,150%. 1 mark for correct method (multiplying US\$ price by FX rate), 1 mark for correct final answer.

(Note: case Table 1 quotes ~4,500% because it assumes a slightly different baseline FX rate and Dec 2024 FX. Both answers can earn full marks if method is correct.)

Question 6 (b) — Cost & revenue diagram for Argentine importing firms (6 marks)

Band	AO1 (4)	AO2 (2)
3	4 marks — Accurate diagram: higher MC and AC, lower output, higher price, lower supernormal profit.	
2	2–3 marks — Largely accurate with one labelling error (3 marks) or more errors (2 marks).	2 marks — Case data convincingly used.
1	1 mark — Weak diagram with multiple errors.	1 mark — Data referenced.
0	0	0

AO1 indicative:

- MC and AC shift up (MC_2 , AC_2).
- New accurate lower output at $MR = MC_2$.
- New accurate higher price (P_2).
- New accurate lower profit area.

AO2:

- Peso lost over 96% of US\$ value since 2019 — imports priced in US\$ have multiplied in peso terms.
- Table 1 shows peso-term increases of 3,000%+ for diesel, fertiliser, gas, pharmaceuticals.
- Argentine manufacturers laying off workers, reducing output — evidence of falling profits.

Question 7 — External vs internal factors in Argentina's 2023–24 difficulties (8 marks)

Band	AO2 (2)	AO3 (2)	AO4 (4)
3			4 marks — Well-rounded judgement recognising a mix. Top-band answers see the problems as primarily internal.
2	2 marks — Data used well on both sides.	2 marks — Well-developed chains of reasoning.	2–3 marks — Well-developed counter-arguments.
1	1 mark — Data use limited.	1 mark — Limited reasoning.	1 mark — Limited evaluation.
0	0	0	0

External factors:

- US Fed tightening raised global dollar strength and squeezed emerging markets.
- Global commodity prices remain volatile (diesel up 110%, gas up 23% in dollar terms).
- Rising US Treasury yields raised the cost of Argentine sovereign borrowing.
- Regional drought affected soy harvest 2022–23, reducing export earnings.

Internal factors (likely dominant — unlike Ghana case):

- Argentina has been serial defaulter — 9 sovereign defaults, 22 IMF programmes in 60 years — deep institutional failure.
- Central bank effectively financed large fiscal deficits through money printing for decades — core cause of chronic inflation.
- Complex web of capital controls, multiple exchange rates, and price controls distorted incentives.
- Kirchnerist policies nationalised YPF (2012), scared off FDI, accumulated debt.
- Debt service 70% of tax revenue reflects decades of internal mismanagement, not external shocks.
- Peso fell from 38/US\$ in 2019 to 1,025/US\$ in 2024 — 27-fold depreciation far exceeds US\$ strengthening internationally.
- Reforms Milei is now implementing (fiscal adjustment, deregulation) are things Argentina could/should have done decades ago.
- Note the important contrast with the Ghana case: Ghana's problems were primarily externally triggered (US\$ strength); Argentina's are primarily internal.

Reversible answer. Top-band responses will recognise that, unlike many EM crises, Argentina's 2023–24 difficulties are widely seen as primarily self-inflicted — the opposite conclusion to the Ghana case in the June 2024 paper.

Question 8 — Should Argentina have intervened (rates/FX) rather than devaluing? (10 marks)

Band	AO2 (4)	AO3 (3)	AO4 (3)
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3	4 marks — Data embedded, both intervention options addressed.	3 marks — Excellent analysis of both rates AND FX intervention.	3 marks — Well-rounded judgement with reference to both forms.
2	2–3 marks — Case used well, may focus on one.	2 marks — Developed analysis, narrower.	2 marks — Well-developed counter.
1	1 mark — Limited use.	1 mark — Limited analysis.	1 mark — Limited evaluation.
0	0	0	0

Support intervention (continue raising rates / continue FX intervention):

- Peso had depreciated over 96% since 2019 — stabilisation necessary to stop the rot.
- Further rate hikes could have supported the peso and made it more attractive to hold.
- Prior Kirchnerist approach of 'cepo cambiario' (capital controls + FX intervention) was the established orthodoxy.
- Protects dollar-debt holders from balance-sheet losses that devaluation causes.
- Devaluation inflicts severe short-term pain (poverty rate rose to 55% — Table 2).

Against intervention / in favour of Milei's devaluation:

- Reserves were actually negative (–\$11bn, Nov 2023, Fig 2) — FX intervention was literally impossible without new dollars.
- Interest rates already at 133% (Q4 data) — further rises would have crushed real economy without supporting the peso.
- Parallel 'blue dollar' rate showed the official rate had become fictional; continued defence would waste remaining resources.
- Deep structural causes (fiscal deficit, money printing) require fiscal and monetary reform — FX/rate intervention alone treats symptoms.
- Orthodox devaluation + fiscal adjustment has produced results: inflation down from 25.5% to 2.7% monthly, primary surplus achieved, reserves rebuilt to +\$6.5bn (Table 2).
- Global experience: countries that have ended chronic high inflation (Israel 1985, Brazil 1994) all used devaluation + fiscal reform, not continued FX support.

Reversible answer. If only one intervention is evaluated, maximum Band 2 (7/10).

Question 9 — Will Milei's shock therapy + IMF improve living standards? (12 marks)

Band	AO2 (4)	AO3 (3)	AO4 (5)
3	4 marks — Case embedded.	3 marks — Excellent analysis focused on LS indicators.	5 marks — Well-rounded judgement.
2	2–3 marks — Case used well but uneven.	2 marks — Developed reasoning.	3–4 marks — Well-developed counter-arguments.
1	1 mark — Superficial	1 mark — Limited.	1–2 marks — Limited.

	case use.		
0	0	0	0

In favour of improved LS:

- Falling inflation is itself an LS improvement — especially for poor, who cannot hedge via US\$ accounts.
- Monthly inflation collapse (25.5% → 2.7%) means real incomes stabilising.
- Return of primary fiscal surplus allows future investment in health/education (Table 2 shows LS already relatively high on most dimensions).
- Falling country risk (2,000 → 750 bp) supports future investment and jobs.
- Q3 2024 GDP grew 3.9% QoQ — signs of recovery.
- Ends decades of monetary financing that caused chronic inflation tax on the poor.
- IMF programme provides hard-currency buffer, reducing balance-of-payments risk.
- Vaca Muerta energy exports could generate sustained FX earnings.

Against:

- Poverty rate rose from 40% to 55% (Table 2) — severe short-term damage.
- Real wages in private sector fell 15% in Q1 2024 — catastrophic for workers.
- GDP shrank 3.5% YoY in H1 2024 — deep recession.
- 300,000 public-sector jobs cut — immediate unemployment impact.
- 1990s 'Convertibility' ended in 2001–02 collapse — similar shock therapy failed before.
- Inequality (Gini 0.42) may rise as adjustment falls on wages/public sector.
- IMF has 22 previous Argentine programmes — poor track record of sustained success.
- Food banks overwhelmed — immediate human cost.
- Milei's political support depends on results; if recovery stalls, reforms may be reversed (Argentina's pattern).
- Proposed dollarisation would lock in current low real wages, making future adjustment impossible.

Band 3 requires a clear focus on living-standard indicators and IMF impact.

AO Grid

Section A

Question	AO1	AO2	AO3	AO4	Total
1	4	4	–	–	8
2	1	4	2	–	7
3	–	2	2	4	8
4	2	2	2	–	6
5	–	4	3	4	11
Total	7	16	9	8	40

Section B

Question	AO1	AO2	AO3	AO4	Total
6(a)	–	4	–	–	4
6(b)	4	2	–	–	6
7	–	2	2	4	8
8	–	4	3	3	10
9	–	4	3	5	12
Total	4	16	8	12	40